



Cambridge O Level

ECONOMICS

2281/12

Paper 1 Multiple Choice

October/November 2023

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

Done!

This document has **12** pages. Any blank pages are indicated.

- 1 Which statement is correct? *are private goods.*
- A Economic goods are not scarce. *They are*
- B Economic goods have no opportunity cost. *They have*
- C Free goods are scarce. *Not scarce, unlimited in supply, no opportunity cost*
- ☒ D Free goods have no opportunity cost. *see above e.g. sun light*

Potential

- 2 The economy of country X is always on its production possibility curve (PPC).

When will the goods and services produced by country X become more scarce?

	PPC	population size
☒ A	shifts left	increases
B	shifts right	unchanged
C	unchanged	decreases
D	unchanged	unchanged

*PPC shifts left $\Rightarrow$ resources $\downarrow$
population $\uparrow$
so, unlimited wants $\uparrow$
limited resources $\downarrow$
scarcity*

- 3 What is capital?

- A the ability to organise the factors of production *(Enterprise)*
- B the energy used in production
- ☒ C the factory used in production
- D the money invested in a firm

* Capital as a factor of production refers to capital goods, or man-made resources, such as tools and infrastructure, used in the production of a good or service. Petersmarck gives examples such as a craftsman's hammer or a doctor's MRI machine.

- 4 What are features of a market economy?

Price mechanism $\rightarrow$ Demand and Supply

	private ownership of factors of production	public ownership of factors of production	government allocation of production
A	no	no ☒	yes
B	no	yes	yes
☒ C	yes ☒	no ☒	no ☒
D	yes ☒	yes	yes

Resources are allocated through price mechanism

Price ↑ (Public Transport)

- 5 Public transport and cars are substitute goods. The price of public transport rises.

What will happen to the demand for cars?

Demand cars ↑

- A It will contract. (This happens when P↑ of cars)] movement
 B It will extend. (This happens when P↓ of cars)
 C It will decrease. (If P↓ of public transport)
 D It will increase.

✓ consumer's switches to cars

- 6 The markets of four products are all in equilibrium. The table gives the value of the price elasticity of supply (PES) for each product.

D=S

The demand for each product shifts to the right by 5000 units at all prices.

Which product will have the largest price increase?

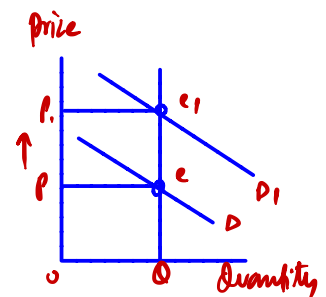
	price elasticity of supply
A	0
B	0.6
C	1.0
D	2.5

perfectly inelastic supply (OS:- unchanged)

Inelastic supply

Unitary supply

Elastic supply



- 7 What is the value of the price elasticity of demand (PED) for a product if total revenue remains the same when the price is reduced?

- A zero (perfectly inelastic)
 B between 0 and 1 (Inelastic)
 C greater than 1 (Elastic)
 D 1 (Unitary)

Unitary

percentage change in price is equal to percentage change in quantity demanded, therefore total revenue remains unchanged.

4

→ Ignore the negative sign

- 8 The owner of a hotel in Malaysia finds that the price elasticity of demand (PED) for accommodation in the area is -1.7 . Elastic demand

If the hotel owner decreases the price of a room by 5%, how would the demand for a room change?

- A It would decrease by 2.9%. $Qd \uparrow$
 B It would decrease by 8.5%. $Qd \uparrow$
 C It would increase by 2.9%.

✓ D It would increase by 8.5%. greatest increase. $+8.5 / -5 = 1.7$

↳ By more than 5%

- 9 Good weather results in an increase in the demand for tomatoes. It also increases the supply of tomatoes.

What **must** be a result of this?

- A The price of tomatoes will fall.
 B The price of tomatoes will rise.

} Demand $\uparrow$, Prices $\uparrow$ or not depends on the supply

- C The quantity of tomatoes traded will fall.

→ quantity will rise

- ✓ D The quantity of tomatoes traded will rise.

$\Delta \uparrow$, quantity traded $\uparrow$

- 10 What causes a change in the price of a product in a free market economy?

- ✓ A changes in demand and supply conditions

Price mechanism

- B changes in external costs and external benefits

Not considered under market economy.

- C changes in government decisions

free market, no government control

- D changes in the quantity of public goods

Not provided under market economy.

- 11 The ways of making and receiving payments continue to develop. Payments can now be made using smartphones, as well as cash, debit cards and credit cards.

Which method of paying for products provides no information to sellers about their customers?

- ✓ A cash

→ Unrecorded transactions

- B debit cards

- C credit cards

- D smartphones

} information of customers is identified

Regulation
Acts as a lender to the government

lender of last resort, monetary policy, reserves, coins / note issuance

12 In most countries, which organisation controls the banking system?

- ☒ A central bank
- ☐ B commercial bank
- ☐ C investment bank
- ☐ D World Bank

13 What is not a reason for differences in the earnings of airline pilots in a particular country?

- ☐ A bargaining power of employees
- ☐ B discrimination
- ☐ C government policies
- ☒ D inflation

This creates the difference for individuals in a firm, sector or as a gender
(affects every individual real income).

14 An airline takes over an online clothing company.

Diversification

What is an advantage of such a move by the airline?

- ☒ A to diversify their operations
- ☐ B to generate economies of scale
- ☐ C to improve lines of communication
- ☐ D to increase market share

Spreading risks

Large firms, internal actions

Horizontal integration (same stage same industry)

15 In which type of industry is a firm most likely to make a large profit in the short run and in the long run?

	number of firms in the industry	barriers to entry into the industry
A	many	high ✓
B	many	low
☒ C	one ✓	high ✓
D	one ✓	low

High barriers and a single firm :- Monopoly!

$$ATC = TC/Q$$

$$\$20 = TC/5$$

$$TC = 100\$$$

$$ATC = TC/Q$$

$$ATC = TC/Q$$

$$ATC = \$126/6 = \$21$$

$$TC = \$100 + \$26 = \$126$$

- 16 A firm produces five units of output at an average cost of \$20 per unit. The cost of the sixth unit is \$26.

What is the average cost of six units?

- A \$4.33 B \$6 C \$8.33 ☒ D \$21

- 17 What is an example of government macroeconomic policy?

- ☒ A increasing the money supply *Monetary policy*
 B preventing price rises in the food industry
 C removing a monopoly's barriers to entry
 D setting a maximum price for wheat
Nice decision

devaluation / depreciation

- 18 Why would devaluing the international value of an economy's currency help reduce unemployment?

- A Devaluing the currency would increase the cost of production. *Unemployment ↑*
 B Devaluing the currency would increase the confidence of investors. *Confidence ↓*
☒ C Devaluing the currency would increase the foreign demand for domestic products.
 D Devaluing the currency would increase the demand for imports. *reduce M(TE) ↓ as imports will be expensive.*

- 19 What is likely to happen when the rate of interest increases?

- A consumer spending increases *↳ ↑, save ↑, spend ↓*
☒ B firms buy fewer machines *↳ ↑, cost of borrowing ↑, machine purchase ↓*
 C people hold more cash *↳ ↑, save ↑, less hold of cash*
 D savers earn lower rewards *↳ ↑, higher reward.*

- 20 What is not a supply-side policy measure?

- A control of trade union power → *AS ↑*
☒ B higher indirect taxation → *AS ↓*
 C privatisation → *AS ↑*
 D skills training for workers → *AS ↑*
Supply side policy, AS ↑

Real GDP
 $\nearrow$ total population⁷

- 21 The table shows the real GDP per head for a country in 2021 and 2022.

2021	2022
\$20 000	\$21 000

$\uparrow$

What is **most** likely to have changed between 2021 and 2022?

- A Incomes were distributed more evenly. *Can't be determined with real GDP per head.*
 B There was more activity in the informal economy. *informal economy, not recorded*
 C ☒ The living standards of some people improved. *Income per head $\uparrow$ adjusted with inflation*
 D The rate of inflation increased. *real income would have reduced*

- 22 Which change to fiscal policy is **most** likely to reduce cyclical unemployment in an economy?

- fiscal* [☒ A increasing direct taxation *AD $\downarrow$* *$\rightarrow$ It occurs when AD $\downarrow$*
☒ B increasing the budget deficit *G $\uparrow$, AD $\uparrow$, Un $\downarrow$*
 C increasing the budget surplus *AD $\downarrow$*
 D increasing the money supply *monetary policy*

- 23 What must have happened in a country when it experienced an annual rate of inflation of 100%?

- A The money supply doubled. *(This results in inflation)*
 B The price level halved. *price rise*
 C ☒ The purchasing power of money halved.
 D The real value of money doubled. *real value $\downarrow$*

- 24 The Human Development Index (HDI) can be used to measure human development in countries.

Which measure would **not** be part of its calculation?

- ☒ A inequality of incomes
 B life expectancy
 C gross national income per head
 D years of schooling
-] Included in HDI*

25 What is the most likely consequence of an ageing population for a high-income economy?

- A There will be a fall in the dependency ratio. *rise*
- B There will be a fall in the level of immigration. *rise*
- C There will be an increase in geographic mobility. *Decrease (aged people)*
- ✓ D There will be an increase in spending on healthcare. *More old people, spending ↑ on health required*

26 In some developing countries a large percentage of the population is involved in subsistence farming.

What can be concluded from this?

- A Each family will be able to produce enough to live on.
- ✓ B Production is unlikely to be capital intensive.
- C Production will be efficient.
- D There will be a high level of trade.

Subsistence agriculture occurs when farmers grow crops to meet the needs of themselves and their families on smallholdings. Subsistence agriculturalists target farm output for survival and for mostly local requirements.

27 A small country whose only export is oil decides to reduce substantially the rate at which it extracts its limited oil reserves.

What is the most likely reason for this decision?

- A to improve the balance of payments in the following year
- B to increase current government income *Income will reduce as X ↓*
- ✓ C to maintain future living standards *oil available ahead*
- D to raise the level of employment in the oil industry *It will reduce*

*It won't improve as less extracted
→ means less exported.*

28 Country X believes that country Y is selling steel at prices below the average cost of production. So, country X imposes a higher tariff on steel imports from country Y.

What does country X hope to achieve by imposing this higher tariff?

- A avoid country X dumping steel in country Y *(other way round)*
- ✓ B avoid country Y dumping steel in country X *(concept of dumping)*
- C reduce inflation in country X
- D reduce inflation in country Y

Dumping

- 29 Which factor would cause a country's exchange rate to fall? Depreciate
- ✓ A Demand for imports increases. *payments to be made, supply £ $\uparrow$, value $\downarrow$*
 - B Domestic interest rates rise. *£ $\uparrow$, FDI $\uparrow$, $D_{\text{£}}$ $\uparrow$, value $\uparrow$*
 - C Domestic savings increase. *save $\uparrow$, spend $\downarrow$, $C_{\text{£}}$ $\downarrow$, $M_{\text{£}}$ $\downarrow$, $S_{\text{£}}$ $\downarrow$, value $\uparrow$*
 - D More tourists visit the country. *Demand £ $\uparrow$, value $\uparrow$*

- 30 Many European firms employ workers from the Philippines. These workers send part of their income to relatives in the Philippines.

In which part of the balance of payments current account for the Philippines would these transactions be recorded?

- A primary income *(Net incomes)*
 - ✓ B secondary income *(Net transfers)*
 - C trade in goods
 - D trade in services
- } Balance of trade*

Question	Answer	Marks
1	D	1
2	A	1
3	C	1
4	C	1
5	D	1
6	A	1
7	D	1
8	D	1
9	D	1
10	A	1
11	A	1
12	A	1
13	D	1
14	A	1
15	C	1
16	D	1
17	A	1
18	C	1
19	B	1
20	B	1
21	C	1
22	B	1
23	C	1
24	A	1
25	D	1
26	B	1
27	C	1
28	B	1

Question	Answer	Marks
29	A	1
30	B	1